

CIMA STRATEGIC CASE STUDY

MOCK EXAM 5

FEBRUARY 2025 CLASS



Task 1

You receive the following email from Martin Jacobs, Chief Finance Officer (CFO).

From: Martin Jacobs, CFO
To: Senior Finance Manager (SFM)
Subject: Environmental protests

Hi SFM,

I am writing to you hoping that you are aware about the current intense situation in Rayland, a foreign country where we operate. I have attached an email from our CEO (Reference Material) that summarises the matters.

As a result of these protests, we have been facing continuous operational disruptions. The CEO as approached the Board seeking immediate solutions.

I need your input on how best we can resolve this issue.

- Firstly, what are the arguments for and against the removal of the protesters, on the basis that we are compliant with the local mining regulations?

[Sub-task (a) – 60%]

- What can we do to demonstrate our commitment to environmental sustainability in hopes to stop these protests?

[Sub-task (b) – 40%]

Regards,
Martin

Reference Material:

Email from Shaista Shameem (CEO) to the Board of Directors (BOD)

To: BOD

From: Shaista Shameem

Subject: Protest in Rayland

Dear All,

I am quite disturbed by the environmental protests happening against us in one of our overseas operations in Rayland, which is a developed country. Protests are against our activities that contribute to soil erosion, water pollution, and the destruction of natural habitats mainly concerning our hard rock mine operation.

As a result of these protests, we have encountered operational challenges, including disruptions to our mining schedules and delayed shipments. They are demanding that we reduce our operations in Rayland by at least 30% to prevent environmental damage.

We believe that we are compliant with all the local regulatory requirements. Therefore, we should ignore the demands of the protesters and see to their immediate removal.

The local management has suggested hiring private security to ensure this happens. Currently we are in close communication with the local management of Rayland's mine as to how can we manage this situation since we need to come up with a solution quickly.

I am seeking all of your immediate attention to this matter and please do reach out with possible solutions that we can go ahead with.

Regards,
Shaista

Task 2

A few weeks passed. You receive the below email from the CFO.

From: Martin Jacobs, CFO
To: Senior Finance Manager (SFM)
Subject: Protest repercussions

Hi SFM,

Now the situation in Rayland has escalated and brought about a lot of media attention. The demonstrations are getting a lot of TV and social media coverage. I have attached an article appeared today on *The Rayland Times* (Reference Material).

This has adversely impacted our share price, which has fallen by 5%. We are now at the brink of our reputation getting tarnished if we don't take actions promptly on this matter.

I immediately need your thoughts on the following.

- Firstly, do you think this drop in our share price is something we need to be greatly concerned over?

[Sub-task (a) – 33%]

- Secondly, identify the concerns of two major external stakeholder groups in Rayland and how we can go about managing them?

[Sub-task (b) – 33%]

- Thirdly, what are the difficulties we would face in determining the extent of reputational damage this incident would result in?

[Sub-task (c) – 34%]

Regards,
Martin

Reference Material:

Newspaper Article - *The Raylond Times*

Protests Escalate Against Rotomyne as Investigations Reveal Environmental Damage

Protests against Rotomyne, a major Lithium mining operation in Rayland, have intensified, attracting significant media attention and raising concerns over environmental practices. Demonstrators, fuelled by worries over the company's ecological impact, have taken to the streets, resulting in **extensive coverage across television and social media channels.**

The demonstrations have had a tangible effect on Rotomyne's operations, with estimates suggesting that **mining activities have decreased by approximately 10%.** Shipments from the site have faced significant delays, complicating the company's logistics and financial standing.

Considering the **mounting scrutiny,** authorities conducted an investigation into Rotomyne's practices. **Contrary to previous beliefs, the findings revealed that the operation has exceeded the maximum permissible carbon footprint by 5%.** This breach has prompted concerns that the company will **face fines** if corrective actions are not implemented within the next three months.

As the local management of Rotomyne remains silent on the matter, investors have reacted swiftly to the unfolding situation. The company's share price has dipped by 5%, reflecting growing unease over its future amid increasing regulatory scrutiny and public backlash.

The protests, coupled with the recent findings, underscore the **ongoing tension between mining operations and environmental sustainability, raising critical questions about the future of the industry in Rayland.** As the situation develops, all eyes will be on Rotomyne to see how they address these serious allegations and respond to the mounting pressure from both the public and regulatory bodies.

Task 3

A few more weeks have passed and you receive the following email from the CFO.

From: Martin Jacobs, CFO
To: Senior Finance Manager (SFM)
Subject: Operational failures and internal controls

Hi SFM,

I hope this message finds you well. Our chairman has serious concern regarding the excessive carbon footprint in our mine and processing facility in Rayland. Furthermore, he has raised his concerns on several inefficiencies in production which were identified by an internal audit investigation.

The chairman has expressed significant disappointment in the Board of Directors for not taking internal controls seriously. He thinks that this situation could have been prevented with more diligent oversight.

I have attached the mail here for your further reference (Reference Material).

I need your immediate input on the below matters.

- Firstly, do you think that the Board of Directors should take responsibility for the internal control failures reported by the Rayland processing plant?

[Sub-task (a) – 33%]

- Secondly, recommend with reasons appropriate internal controls we can implement in all our plants to prevent issues like this from happening again?

[Sub-task (b) – 33%]

- Thirdly, do you think that our risk register would need to be updated as a result of these events and findings?

[Sub-task (c) – 34%]

Regards,
Martin

Reference Material:

Email to the BOD from the Chairman, Iresh Jayawardena.

From: Iresh Jayawardena, Non-Executive Chair

To: Board of Directors (BOD)

Subject: Review of environmental compliance and internal controls

Dear BOD,

I am writing to address a serious matter that has recently come to light regarding our mine and processing facility in Rayland. For the past four months, we have been exceeding the maximum permissible carbon footprint by 5%. This situation is unacceptable and raises significant concerns about our commitment to environmental compliance.

An internal audit investigation was launched, revealing that this increase in our carbon footprint is primarily due to processing machinery getting older and hence they require urgent repair and maintenance. Although maintenance checks were scheduled, several were either delayed or inadequately performed.

Additionally, the investigation uncovered that a decrease in machine efficiency had been reported to the head office, but the production director deemed it insignificant. Alarming, neither the local operations nor the head office addressed the potential environmental impact of this oversight.

I express my disappointment in the Board's oversight regarding our internal controls. These issues could have been mitigated with greater diligence and attention to our operational standards. It is imperative that we take immediate action to rectify this situation and ensure such oversights do not occur in the future.

I urge each of you to reflect on the importance of adhering to our internal protocols and the serious implications of neglecting our environmental responsibilities. We must prioritize compliance and accountability moving forward.

Thank you in advance for your attention to this critical matter.

Regards,
Iresh